Ferncastle Bank

Commercial Lending · 88 Quayside Plaza, Anytown, WA 00000

LOAN AGREEMENT

Loan Agreement between Ferncastle Bank and HANGS General Contracting LP, dated January 15, 2024 · Excerpt

Excerpt: Sections 1.1, 6.1 and 7, as amended by the First Amendment dated March 1, 2025. Facilities: a Revolving Loan of up to $5,000,000.00, an Equipment Term Loan of $6,300,000.00, and the Shop and Yard Note of April 1, 2022 for $4,160,000.00, which this Agreement makes Funded Debt.

Section 1.1 Definitions

“Tangible Net Worth” means total partners’ capital, less intangible assets (including goodwill and acquired contract rights), and less amounts due from partners, affiliates and employees.

“Total Liabilities” means all liabilities of the Borrower that would be shown on its balance sheet in accordance with GAAP.

“EBITDA” means, for a fiscal year, net income plus interest expense, depreciation and amortization.

“Current Maturities of Long-Term Debt” means the principal of all Funded Debt, other than the Revolving Loan, scheduled to be paid within twelve months after the date of determination, including any payment due at maturity.

“Debt Service Coverage Ratio” means EBITDA for the fiscal year divided by the sum of Current Maturities of Long-Term Debt at its end and interest expense for the fiscal year.

“Current Assets and Current Liabilities” mean the assets and liabilities of the Borrower that would be classified as current in accordance with GAAP. Working Capital means Current Assets minus Current Liabilities.

“Capital Expenditures” means expenditures for fixed assets in a fiscal year, however financed, including assets acquired under finance leases.

Section 6.1 Reporting

(a) Annual statements: within 120 days after the end of each fiscal year (the fiscal year ends June 30), the Borrower shall deliver its annual financial statements, prepared in accordance with GAAP, with a Compliance Certificate signed by its controller or chief financial officer showing the calculation of each covenant in Section 7.
(b) Quarterly statements: within 45 days after the end of each fiscal quarter.

Section 7 Financial Covenants, tested as of each fiscal year end

7.1 Minimum Tangible Net Worth:	not less than $7,500,000.00
7.2 Maximum Total Liabilities to Tangible Net Worth:	not more than 2.50 to 1.00
7.3 Minimum Debt Service Coverage Ratio:	not less than 1.25 to 1.00
7.4 Minimum Working Capital:	not less than $2,000,000.00
7.5 Maximum Capital Expenditures:	not more than $1,750,000.00

A breach of Section 7 is an Event of Default unless the Bank waives it in writing (Section 8.1(c)).

Executed by Rowan Castell, Vice President, Commercial Lending, and by Dana Whitfield for the Borrower. Signed January 15, 2024.

Demonstration document. Every name and figure is invented.